

By taking into account factor exposures, we raise the bar for active management. We want to pay active managers well when they create value (see chapter 15), but we need to ensure the returns they generate are higher, net of fees, than what we can get more cheaply in low-cost dynamic factor benchmarks.

4.4. RISK-RETURN FACTOR ANALYSIS

An important part of factor allocation is to look at the distribution of portfolio returns with different exposures to the factors. This is where fancy statistical analysis is useful. Many investors do this with the long-only factors like equity and bonds, where simulations are employed to compute risk–return trade-offs for a select few combinations of equity–bond mixes. We can extend this process to dynamic factor allocation. Most investors dislike downside outcomes more than they like upside gains (they have *loss aversion* utility functions, see chapter 2), so I recommend concentrating on downside risk measures.

The Professors’ Report illustrated this for the factor weights implied by NBIM, along with less and more aggressive allocations than what they implicitly did during the financial crisis. Factor allocation usually produces returns that are highly left-skewed. That is, they can occasionally produce some very large losses. Viewing the potential of these losses as a function of the size of the factor exposures allows investors to calibrate their desired holdings to the factor risks.

4.5. FACTORS AND GOVERNANCE

Few in Norway dispute that factors are important and deserve close attention. A major challenge, however, is deciding who sets the factor exposures. The factor decision, like all investment strategy considerations, cannot be divorced from the governance structure.

The Professors’ Report recommended that asset owners categorize factors by horizon and within each horizon bucket set appropriate performance reviews and investment strategy. Figure 14.7 contains three (simplified) horizons: short-term,

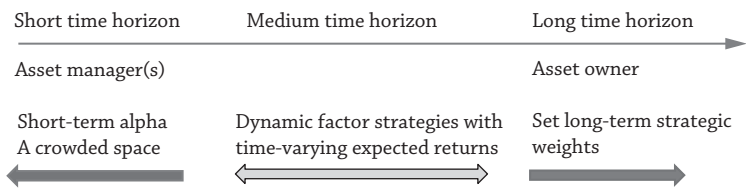


Figure 14.7